

**UNITED STATES BANKRUPTCY COURT
DISTRICT OF CONNECTICUT**

In re:

HO WAN KWOK, *et al.*,

Debtors.

LUC A. DESPINS, IN HIS CAPACITY AS CHAPTER 11
TRUSTEE FOR THE ESTATE OF HO WAN KWOK,

Plaintiff,

v.

JASON MILLER,

Defendant.

Chapter 11

Case No. 22-50073 (JAM)

(Jointly Administered)

Adv. P. No. 24-05219 (JAM)

Re: ECF No. 14

ORDER DENYING MOTION TO DISMISS

On June 26, 2024, defendant Mr. Jason Miller filed a motion to dismiss (the “Motion”) this adversary proceeding. (ECF No. 14.) On August 26, 2024, plaintiff Mr. Luc A. Despins., in his capacity as the Chapter 11 trustee (the “Trustee”) for the estate of Mr. Ho Wan Kwok (the “Individual Debtor”), filed an objection to the Motion. (ECF No. 18.) On September 20, 2024, Mr. Miller filed a reply in support of the Motion. (ECF No. 20.) The Motion is fully briefed. Upon review of the Motion, and all related pleadings, the Court determines a hearing on the Motion is not necessary, D. Conn. Bankr. L.R. 9014-1(m), Appendix M, and enters this order denying the Motion.

In the Motion, Mr. Miller raises two arguments. First, he argues the complaint should be dismissed because certain transfer information has been filed under seal on a schedule attached to the complaint. However, as the Trustee observes, the Court ordered the Trustee to file such

schedules under seal because that information was produced to him as confidential or highly confidential under the applicable protective order. (Avoidance Action Procedures Order ¶ 2(d), Main Case ECF No. 3163.) The Court concludes the Trustee's compliance with this Court's order provides no basis to dismiss the complaint. Mr. Miller may move to unseal the schedule of transfers, which motion, if made, the Court will consider. That Mr. Miller has instead moved to dismiss the complaint on this basis can only be designed to delay these proceedings. Fed. R. Bankr. P. 9011.

Second, Mr. Miller argues the Trustee cannot bring section 544(b) fraudulent transfer claims under New York law against Mr. Miller but must rather bring such claims under Virginia law because Mr. Miller is a resident of Virginia. The Trustee argues New York law is appropriate because the Individual Debtor and his alleged corporate *alter egos* conducted their business and made the transfers at issue from New York.

This Court applies Connecticut choice of law rules. *Geron v. Seyfarth Shaw LLP (In re Thelen LLP)*, 736 F.3d 213, 219 (2d Cir. 2013) (forum state choice of law applies). Connecticut courts generally follow the Restatement (Second) of Conflict of Laws. *See, e.g., W. Dermatology Consultants, P.C. v. VitalWorks, Inc.*, 153 A.3d 574, 584 (Conn. 2016) (applying Restatement (Second) of Conflict of Laws to tort law); *Weber v. U.S. Sterling Secs., Inc.*, 924 A.2d 816, 822–23 (Conn. 2007) (applying Restatement (Second) of Conflict of Laws to corporate law); *Macomber v. Travelers Prop. & Cas. Corp.*, 894 A.2d 240, 256–57 (Conn. 2006) (applying c to contract law).

The Court concludes Connecticut would also apply the Restatement (Second) of Conflict of Laws to property law. Section 244 provides:

(1) The validity and effect of a conveyance of an interest in a chattel as between the parties to the conveyance are determined by the local law of the state which, with respect

to the particular issue, has the most significant relationship to the parties, the chattel and the conveyance under the principles stated in § 6.

(2) In the absence of an effective choice of law by the parties, greater weight will usually be given to the location of the chattel, or group of chattels, at the time of the conveyance than to any other contact in determining the state of the applicable law.

RESTATEMENT (SECOND) OF CONFLICT OF LAWS § 244.

In determining a motion to dismiss, the Court must take all well-pled allegations in a complaint as true. *See Hughes v. Rowe*, 449 U.S. 5, 10 (1980); *Warren v. Colvin*, 744 F.3d 841, 843 (2d Cir. 2014); *Bryant v. N.Y. State Educ. Dep't*, 692 F.3d 202, 208 (2d Cir. 2012); *Chambers v. Time Warner, Inc.*, 282 F.3d 147, 152–53 (2d Cir. 2002); *Tatum v. Oberg*, 650 F. Supp. 2d 185, 189 (D. Conn. 2009). In the complaint, the Trustee alleges “[a]t all times relevant herein, the Debtor conducted business in New York, New York, including direction of the Transfers (as defined herein).” (Complaint ¶ 25, ECF No. 1.) Similarly, in the incorporated complaint against the alleged *alter egos* involved in the transfers, *see id.* ¶ 13 n. 4, the Trustee alleges said *alter egos*’ principal place of business was also New York City. (Complaint ¶ 28, *Despins v. HCHK Techs., Inc. (In re Kwok)*, Case No. 22-50073 (JAM), Adv. P. No. 23-05013 (JAM) (Bankr. D. Conn. June 8, 2023), ECF No. 1.) The Court concludes the Trustee has sufficiently pled the applicability of New York law at this time. RESTATEMENT (SECOND) OF CONFLICT OF LAWS §§ 6, 244.

For these reasons, it is hereby

ORDERED: Pursuant to Fed. R. Civ. P. 12(b)(6), made applicable in this adversary proceeding by Fed. R. Bankr. P. 7012, the Motion is **DENIED**; and it is further

ORDERED: The Trustee and Mr. Miller shall meet and confer to discuss, among other things, an agreed upon date for Mr. Miller to file an answer to the complaint.

Dated at Bridgeport, Connecticut this 14th day of April, 2025.